29. The amount spent on special advertisement campaign is treated as:
    a. Fictitious Assets
    b. Current Assets
    c. Depleting Assets
    d. Fixed Assets

30. Pick the odd one out:
    a. Expenses on Formation of Companies
    b. Research and Development Expenses
    c. Brokerage and Underwriting Commission
    d. Plant and Machinery

Answers 1.(a), 2.(c), 3.(d), 4.(b), 5.(b), 6.(b), 7.(a), 8.(d), 9.(a), 10.(a) 11.(c) 12.(b) 13.(c) 14.(c) 15.(d) 16.(c) 17.(b) 18.(b) 19.(d) 20.(b) 21.(d) 22.(d) 23.(d) 24.(b) 25.(d) 26.(c) 27.(b) 28.(c) 29.(a) 30.(d)

II. Very Short Answer Questions

1. Define the term 'Verification'.
2. What is Valuation?
3. What is the process of Verification?
4. What do you mean by 'Fixed Assets'?
5. What is Freehold property?
6. What is Leasehold property?
7. What is the position of auditor while verifying assets?
8. What is an investment?
9. What is fictitious asset? Give examples.
10. What is wasting asset? Give examples.
11. What is meant by Deferred Revenue Expenditure.

III. Short Answer Questions

1. Enumerate the various Fixed Assets.
2. State the differences between Freehold property and Leasehold property.
3. What is the position of Auditor while valuing assets?
4. Briefly mention the importance of Verification.
5. State the points to be examined by the auditor in verifying 'Plant and Machinery.
6. Differentiate fixed assets from wasting asset.
7 What is the general procedure for valuing the land and buildings?
8. State briefly, how the furniture and fixtures of a business are verified and valued for Balance Sheet purpose.
9. Explain the procedure for valuation of quoted investment and unquoted investments.
10. What is verification? How would you verify (a) Fictitious assets; (b) Wasting assets.

Chapter_04.indd 62 12/23/2019 3:44:07 PM